(10) Income Taxes

On December 22, 2017, the U.S. government enacted comprehensive tax legislation commonly referred to as the Tax Cuts and Jobs Act (the "TCJA"). The TCJA included significant changes to existing tax law, including a permanent reduction to the U.S. federal corporate income tax rate from 35% to 21%, a one-time repatriation tax on deferred foreign income ("Transition Tax"), deductions, credits and business-related exclusions.

The permanent reduction to the U.S. federal corporate income tax rate from 35 % to 21% was effective January 1, 2018. When a federal tax rate changes during a fiscal year, the Internal Revenue Code requires taxpayers to compute a weighted daily average rate for the fiscal year of enactment. As a result, the Company has calculated a U.S. federal statutory corporate income tax rate of 31.55% for the fiscal year ended March 31, 2018. The U.S. corporate federal statutory rate of 31.55% is the weighted daily average rate between the pre-enactment federal statutory rate of 35% and the post-enactment federal statutory rate of 21%.

The impact of changes in federal tax rates on deferred tax amounts and the effect of the Transition Tax are significant unusual or infrequent items which are recognized as discrete items in the Company's income tax expense in the period in which the event occurs. The Company recorded $10.5 million as a provisional amount related to the net impact of revaluing the U.S. deferred tax assets and liabilities in the third quarter of fiscal 2018. The final calculation related to the net impact of revaluing the U.S. deferred tax assets and liabilities resulted in an immaterial reduction in the provisional amount. The Company has recorded an increase in tax expense of $4.9 million related to the foreign "Transition Tax" during the final quarter of fiscal 2018.

Income tax expense (benefit) consists of:

	Current	Deferred	Total
Year ended March 31, 2018			
U.S. Federal	**$ 32,398,898**	**12,073,220**	**44,472,118**
State and local	**3,191,525**	**94,165**	**3,285,690**
Foreign	**3,138,632**	**(3,381,953)**	**(243,321)**
	$ 38,729,055	**8,785,432**	**47,514,487**
Year ended March 31, 2017			
U.S. Federal	$ 34,930,677	(14,658)	34,916,019
State and local	3,215,621	25,852	3,241,473
Foreign	3,144,625	(905,280)	2,239,345
	$ 41,290,923	(894,086)	40,396,837
Year ended March 31, 2016			
U.S. Federal	$ 44,781,123	(839,117)	43,942,006
State and local	4,866,596	169,985	5,036,581
Foreign	1,630,565	(116,245)	1,514,320
	$ 51,278,284	(785,377)	50,492,907

Income tax expense was $47.5 million, $40.4 million and $50.5 million, for the years ended March 31, 2018, 2017 and 2016, respectively, and differed from the amounts computed by applying the U.S. federal income tax rate of 31.55% for fiscal 2018 and 35% for fiscal years 2017 and 2016 to pretax income from continuing operations as a result of the following:

	2018	2017	2016
Expected income tax	**$ 31,930,021**	39,898,996	48,260,962
Increase (reduction) in income taxes resulting from:			
State tax, net of federal benefit	**2,249,055**	2,106,957	3,273,778
Revalue deferred tax assets and liabilities	**10,516,827**	—	—
Foreign transition tax	**4,854,640**	—	—
Uncertain tax positions	**(340,993)**	(1,015,222)	1,624,865
State tax adjustment for amended returns	**—**	238,301	(370,659)
Foreign income adjustments	**5,483**	(332,023)	(257,873)
Other, net	**(1,700,546)**	(500,172)	(2,038,166)
	$ 47,514,487	40,396,837	50,492,907

The tax effects of temporary differences that give rise to significant portions of the deferred tax assets and deferred tax liabilities at March 31, 2018 and 2017 are presented below:

	2018	2017
Deferred tax assets:		
Allowance for loan losses	**$ 24,177,241**	28,125,727
Unearned insurance commissions	**8,711,298**	12,419,811
Accrued expenses primarily related to employee benefits	**8,470,247**	15,849,041
Reserve for uncollectible interest	**795,259**	1,125,188
Foreign tax credit carryforward	**3,254,926**	—
Other	**1,007,786**	—
Gross deferred tax assets	**46,416,757**	57,519,767
Less valuation allowance	**(3,256,200)**	(1,274)
Net deferred tax assets	**43,160,557**	57,518,493
Deferred tax liabilities:		
Fair value adjustment for loans receivable	**(6,556,078)**	(9,450,239)
Property and equipment	**(2,483,487)**	(3,560,296)
Intangible assets	**(1,592,173)**	(2,341,393)
Deferred net loan origination costs	**(1,402,733)**	(1,985,387)
Prepaid expenses	**(886,449)**	(977,906)
Other	**—**	(178,203)
Gross deferred tax liabilities	**(12,920,920)**	(18,493,424)
Deferred income taxes, net	**$ 30,239,637**	39,025,069

The valuation allowance for deferred tax assets as of March 31, 2018, and 2017 was $3.3 million and $1,274, respectively. The valuation allowance against the total deferred tax assets as of March 31, 2018 consisted of $1,274 related to state of Colorado net operating losses in the amount of $54,318, which expire in 2025, and a foreign tax credit carryforward of $3.3 million, arising in relation to the Section 965 calculation ("Transition Tax") during the current fiscal year. The Company does not expect to generate enough foreign source income in future tax years to realize this tax attribute.

In assessing the realizability of deferred tax assets, management considers whether it is more likely than not that some portion or all of the deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. Management considers the scheduled reversals of deferred tax liabilities, projected future taxable income, and tax planning strategies in making this assessment. In order to fully realize the deferred tax asset, the Company will need to generate future taxable income prior to the expiration of the deferred tax assets governed by the tax code. Based upon the level of historical taxable income and projections for future taxable income over the periods in which the related temporary differences are deductible, management believes it is more likely than not the Company will realize the benefits of these deductible differences, net of the existing valuation allowances at March 31, 2018. The amount of the deferred tax asset considered realizable, however, could be reduced in the near term if estimates of future taxable income during the carryforward period are reduced.

The Company is expecting the Mexican subsidiaries to pay the U.S. company a dividend during fiscal 2019. As a result, the Company will no longer claim permanent reinvestment in the respective foreign jurisdiction. At March 31, 2018, because of the Transition Tax, the Company's tax basis in the Mexican subsidiaries is greater than its book basis; therefore, there is no taxable temporary difference.

As of March 31, 2018, 2017 and 2016, the Company had $8.8 million, $8.9 million and $10.7 million of total gross unrecognized tax benefits including interest, respectively. Of these totals, approximately $6.9 million, $7.2 million and $8.2 million, respectively, represents the amount of net unrecognized tax benefits that are permanent in nature and, if recognized, would affect the annual effective tax rate.

A reconciliation of the beginning and ending amount of unrecognized tax benefits at March 31, 2018, 2017 and 2016 are presented below:

	2018	2017	2016
Unrecognized tax benefit balance beginning of year	**$ 7,264,966**	9,395,413	7,621,327
Gross increases (decreases) for tax positions of current year	**166,375**	(237,746)	783,265
Gross increases for tax positions of prior years	**8,228**	637,166	1,798,505
Settlements with tax authorities	**—**	(2,403,982)	—
Lapse of statute of limitations	**(493,340)**	(125,885)	(807,684)
Unrecognized tax benefit balance end of year	**$ 6,946,229**	7,264,966	9,395,413

At March 31, 2018, approximately $4.2 million of gross unrecognized tax benefits are expected to be resolved during the next 12 months through settlements with taxing authorities or the expiration of the statute of limitations. The Company’s continuing practice is to recognize interest and penalties related to income tax matters in income tax expense. As of March 31, 2018, 2017 and 2016, the Company had $1.9 million, $1.6 million and $1.3 million accrued for gross interest, respectively, of which $0.4 million, $0.7 million, and $0.6 million represented the current period expense for the periods ended March 31, 2018, 2017, and 2016.

The Company is subject to U.S. and Mexican income taxes, as well as various other state and local jurisdictions. With the exception of a few states, the Company is no longer subject to U.S. federal, state and local, or non-U.S. income tax examinations by tax authorities for years before 2013, although carryforward attributes that were generated prior to 2013 may still be adjusted upon examination by the taxing authorities if they either have been or will be used in a future period.